

net worth: The value of all of a person's assets (anything owned that has a monetary value) minus all of the person's liabilities (amounts owed to others).

nonmarital agreement: A written agreement between two unmarried people living together, spelling out how their finances will be handled.

PMI: Private mortgage insurance; insurance that protects a lender if a borrower defaults on a mortgage. Lenders require PMI if the mortgage exceeds 80 percent of the appraised value of the home.

points: Finance charges paid by a borrower when a loan is initiated. One point is worth 1 percent of the loan amount. Borrowers can "buy down" an interest rate to get a lower rate by paying points up front.

probate: A court process to determine the validity of a will and oversee the distribution of property upon the owner's death.

risk tolerance: An investor's ability to tolerate fluctuations in the value of an investment in the expectation of receiving a higher return.

rollover: Reinvestment of a distribution from a qualified retirement plan into an IRA or another qualified plan in order to retain its tax-deferred status and avoid taxes and penalties for early withdrawal.

Rule of 72: A method of estimating the time it will take for a certain amount of money to double at a given interest rate (72 divided by the interest rate equals roughly the number of years it will take for the money to double).

standard deduction: The fixed amount deducted from adjusted gross income allowed taxpayers who don't itemize deductions.

stock: An ownership share in a corporation, entitling the investor to a pro rata share of the corporation's earnings and assets.

tenancy in common: Shared ownership of property by two or more people, giving each owner the legal right to pass on his or her share of the property